

Lets take an example and calculate these numbers for Long Call Butterfly strategy as well as Short Call Butterfly strategy. It will help us understand the payoff, risks and reward better. Once we understand butterfly strategies for call options, you may go ahead and create for put option strategies too.

Suppose,

A stock is trading at ₹5500. Lot Size = 100.

We buy 1 call at a strike price of ₹5000 at a premium of ₹600. We sell 2 calls at a strike price of ₹5500 at a premium of ₹130. We buy 1 call at a strike price of ₹6000 at a premium of ₹40.

